6.2 Verification of Capital

The amount invested by the owner in a business concern is called as Capital. The owner may be a sole proprietor or partner or shareholder. It is an internal liability of the business concern and the auditor is required to verify the genuineness and correctness of it in the Balance Sheet.

6.2.1 Verification of Capital in a Partnership Firm

The auditor should take into consideration the following while verifying capital of a partnership firm.

1. **Verify Partnership Deed:**

   The auditor should verify the partnership deed to find out the original capital contributed by each partner and the rate of interest payable on capital.

2. **Verify Capital Accounts:**

   He should verify all the transactions affecting the capital accounts of the partner.

3. **Examine Books of Accounts:**

   He should examine the cash book, pass book and withdrawals of the partners.

6.2.2 Verification of Capital in a Company

While verifying the capital of a company, the auditor should verify the share capital and the level of reserves and surplus maintained by the company.



Meaning of Share Capital

Share capital means the capital raised by issue of shares. It is the amount invested by shareholders towards the face value of shares are collectively known as Share Capital.

Sub-Divisions of Share Capital

- **Authorised Capital:** It is the maximum amount of capital which a company is authorised to raise and is stated in the Memorandum of Association. It can also be called as "Registered Capital" or "Nominal Capital".
- **Issued Capital:** This represents a part of the authorized capital, which is issued to the public for subscription.
- **Unissued Capital:** The difference between authorised capital and the issued capital represents unissued capital.
- **Subscribed Capital:** It refers to that part of the issued capital which has been subscribed by the public.
- **Unsubscribed Capital:** The difference between issued capital and subscribed capital represents unsubscribed capital.
- **Called-up Capital:** This refers to that part of the subscribed capital which has been called up by the company for payment.
- **Un-called Capital:** The difference between subscribed and called-up capital is called as un-called capital.
- **Paid-up Capital:** It is that part of called-up capital which has been actually paid-up by shareholders.
- **Unpaid Capital:** The un-paid balance in the called-up capital

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